Issue of Securities at Discount

When the shares are issued at a price below the face value they are said to be issued at a discount. For example, a share having the face value of Rs 10 is issued at Rs 8. The companies act 2013, prohibits the issue of shares at discount (Section 53), except sweat Equity share.

Sweat Equity Shares

Under section 54 of the Companies Act 2013, Sweat Equity Shares can be issued at Discount. Sweat Equity Shares means issue of shares to employees or directors at a lower price for cash or other than Cash, in lieu of providing know-how or making available rights in the nature of intellectual property rights or any value additions.

Bonus Shares

A company may, if its Articles provide, capitalize its profits by issuing fully-paid bonus shares. The issue of bonus shares by a company is a common feature. In simple, Bonus share means to utilize the company's reserves and surpluses, issue of shares to existing shareholders without taking any consideration is known as Bonus Shares. It can be issued by:

(i) Making partly paid up shares as fully paid

(ii) Issuing new shares

Right Shares

Right shares are the shares which are issued by the company, with the aim of increasing the subscribed share capital of the company by further issue, if it is authorized by its Articles. The right shares are primarily issued to the existing equity shareholders through a letter of an issue, on pro rata basis.

26.07 Share Certificate and Share Warrant

A share certificate is an instrument in writing, that is a legal proof of the ownership of the number of shares stated in it. Every company, limited by shares, whether it is public or private must issue the share certificate to its shareholders except in case, where shares are held in dematerialization system.

According to Section 45 of the Companies Act, 2013 each share of the share capital of the company shall be distinguished with a distinct number for its individual identification. However, such distinction shall not be required, if the shares are held by a person whose name is entered as holder of beneficial interest as per the records of a company.

The share certificate contains the following details in it, they are:

(i) Company name
(ii) Date of issue
(iii) Details of the member
(iv) Shares held
(v) Nominal value
(vi) Paid up value
(vii) Definite number

The share certificate is issued by the company within three months of the allotment of shares to the applicants, which is issued under the common seal of the company. Normally, the holder of the share certificate is regarded as the member of the company.

Share Warrant

A share warrant is a negotiable instrument, issued by the public limited company only against fully paid up shares. It is also termed as a document of title because the holder of the share warrant is entitled to the number of shares mentioned in it. There is no compulsion of the issue of share warrants by the company. Although if the public company wants to issue share warrants, then prior approval of the Central Government (CG) is required. Further the issue of a share warrant must be authorized in the articles of association of the company.

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